wapic

Wapic Insurance Plc.

Q3 2017 Financial Results
Presentation to Investors & Analysts

November 7, 2017

Presenters

Yinka Adekoya
Managing Director, Wapic Insurance Plc.

Dayo Arowojolu
Managing Director, Wapic Insurance Ghana Ltd.

Rantimi Ogunleye
Managing Director, Wapic Life Assurance Ltd.

Bode Ojeniyi
Executive Director, Sales & Distribution

Olufemi Obaleke
Executive Director, Subsidiaries

Oluseyi Taiwo
Chief Financial Officer

Zina Y. Giwa-Amu
Strategy, IT & Investor Relations

Introducing...

WAPIC SMART PRODUCTS

Welcome to our world

Speaker Topics

About Wapic

Regulatory Environment

Operating Environment

Financial Overview

Outlook

Creating sustainable value

3 Operating entities

206 Professional Staff

13.4 Billion ordinary shares of 50 kobo each in issue

6 Regional offices in Nigeria
(Abuja, Benin, Enugu, Ibadan, Kano, Port Harcourt)

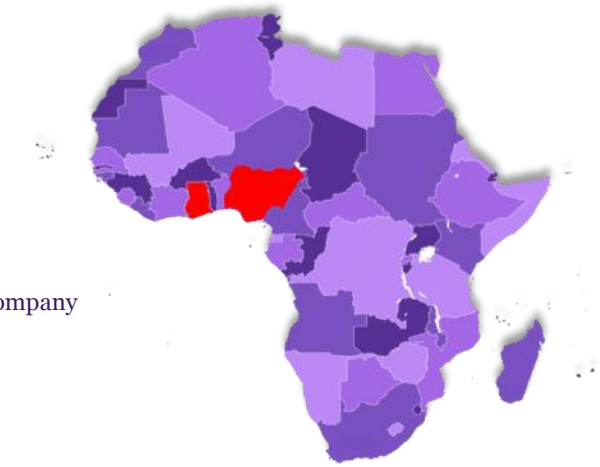
N29billion
Total Assets

850,000+
Shareholders

18 Billion
Assets Under Management

WAPIC Insurance Plc.
(Quoted on the NSE)

- WAPIC Life Assurance Limited
- WAPIC Insurance (Ghana) Limited
- **1** Associated Company: CORONATION MERCHANT BANK Limited



Presence	• **Nigeria and Ghana**
Listings	• **Nigerian Stock Exchange** • **GDR Depositary Bank - Bank of New York, Mellon**
Rating (AM Best)	• **C++ (Financial Strength Rating/Stable Outlook)** • **b+ (Issuer Credit Rating/Stable Outlook)**
Actuaries	EY, OED
Re-insurers	Munich RE, AFRICA RE, CONTINENTAL REINSURANCE, WAICA RE, Ghana Re, Nigeria Reinsurance Corporation
Auditors	• PwC

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Regulatory and industry environment

The National Insurance Commission recently introduced four different forms of operational guidelines in the insurance sector. These guidelines are: the Web Aggregators Operational guidelines; State Government's Implementation of Compulsory Insurance (or State Financial Advisers) guidelines; Independent Agents Operational guidelines; and the Mutual Organisations, Associations, Community Based, Micro guidelines

The Securities and Exchange Commission has vowed the enforcement of electronically transmitted annual reports to shareholders. The SEC's Director General, Mounir Gwarzo, disclosed that the pilot stage will take off this year and will be reviewed from time to time, while adding that the aim is to ensure all investors get the report on time and study it thoroughly and ask relevant questions and contribution to the shareholders meetings.

The National Insurance Commission (NAICOM) is concluding arrangements to start the second phase of its Market Development and Restructuring Initiative (MDRI).
The objectives of MDRI are to enforce compulsory insurance products in Nigeria, sanitise and modernise the insurance agency system, wipe out fake insurance institutions and to introduce risk-based supervision.

The Nigerian Stock Exchange (NSE) elected Mr. Abimbola Ogunbanjo as the new president of National Council of the Exchange. The decision was reached at the Exchange's National Council meeting held immediately after its 56th Annual General Meeting (AGM) in Lagos.

To curb insurance fraud in the sector, the Insurance regulator and Economic and Financial Crimes Commission (EFCC) have gone into partnership. The Commissioner for Insurance, Mr. Mohammed Kari In September, engaged acting Chairman of EFCC, Ibrahim Magu, to fashion strategies to combat fraud in the industry.

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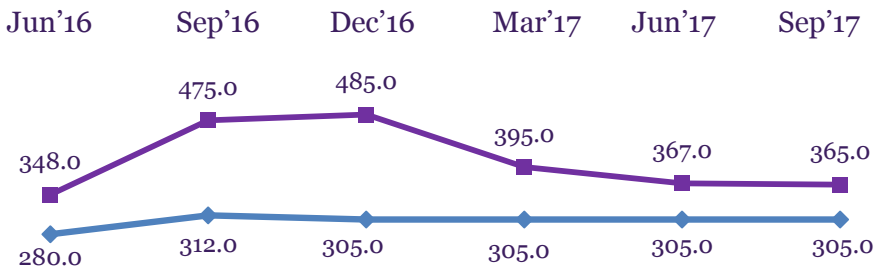
Operating environment

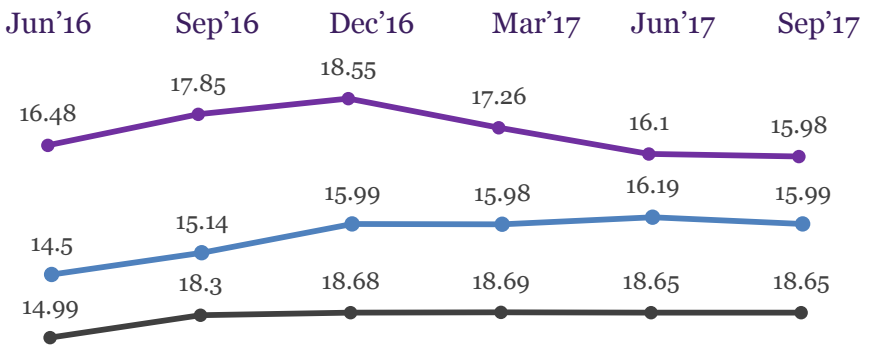
FX Rate N/$



The Nigerian foreign exchange market has benefited from improved liquidity and rate convergence across floating segments, following CBN's dollar injections and autonomous inflows through the new "Investors and Exporters" window. Naira further appreciated to N365/dollar as at the end of Q3 2017. Improved global oil prices and oil production is expected to further boost market liquidity.

Official Rate — Parallel Mkt —

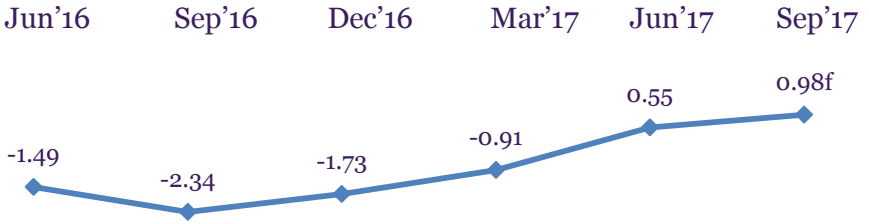
Inflation, Bonds & T-bills



Inflationary pressure in the economy continued to moderate with headline inflation (year-on-year) receding for the eight consecutive month to 15.98 percent in September 2017 representing a new low since May 2016. Looking forward, inflation rate is estimated to stand at about 14.90 percent towards the end of the year.

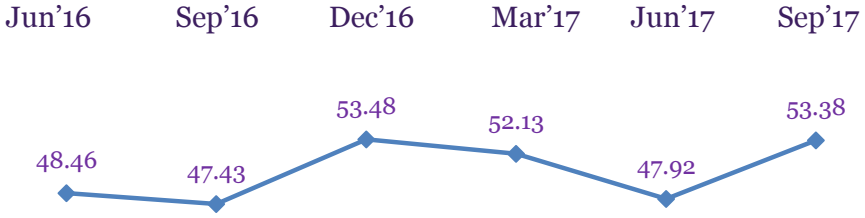
Inflation — 5-yr FG Bonds — 1-yr TBills —

GDP Growth (%)



Real GDP grew by 0.55 percent in the second quarter of 2017, against the contractions of 0.91 and 1.49 percent in the previous quarter of 2017 and the corresponding quarter of 2016 respectively, marking the technical exit of the Nigerian economy from recession. The Nigerian economy has a more stable footing to bolster medium term growth premised on recovery in oil production and fading inflationary pressures.

Crude Oil $/barrel



Crude Oil price hit a new high in Q3 2017, rose by 2.7 percent to $53.38 per barrel surpassing the highest level of the year. Continuing a rally fuelled by improving demand and expectations that OPEC and non-OPEC producers will extend output cuts.

Source: CBN, National Bureau of Statistics (NBS), Business Monitoring International (BMI), Trading Economics

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Speaker Topics

Financial Highlights

Income Statement Review

SOFP Review

Assets under Management

Group financial highlights

NGN million

		Sept'17	Sept'16		%Δ
Earnings	Total Income	10,225	10,120	↑	+1
	Gross Written Premium	7,816	6,406	↑	+22
	Net Underwriting Income	4,890	3,676	↑	+33
	Total Underwriting Expenses	3,596	3,050	↑	+18
	Underwriting profit	1,294	626	↑	+107
	Net Investment & Other Income	1,930	3,282	↓	-41
	Expenses & Provisions	3,284	3,400	↓	-4
	Profit before Tax	952	1,508	↓	-37
	OPEX ratio	42%	53%	↓	-22
	Net claims ratio	48%	57%	↓	-16

		Sept'17	FY'16		%Δ
Financial Position	Financial Assets	9,387	7,401	↑	+27
	Reinsurance Assets	2,250	1,573	↑	+43
	Total Assets	28,408	25,902	↑	+10
	Total Liabilities	11,414	9,336	↑	+22
	Shareholders' Funds	16,993	16,566	↑	+3
	ROA	3%	5%	↓	-33
	ROE	5%	4%	↑	+14

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Agenda

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SOFP Review

Assets under Management

Income statement review

NGN million

	Sept'17	Sept'16	%Δ
Gross Written Premium	7,816	6,406	+22
Reinsurance expenses	2,907	2,281	+27
Net claims expenses	2,096	1,848	+13
Underwriting expenses	1,491	1,202	+24
Underwriting profit	1,294	626	+107
Investment income	1,728	862	+100
Other operating income	202	2,420	-92
Operating expenses	3,248	3,400	-4
Profit before tax	952	1,508	-37

Highlights

- The Group's gross written premium grew by 22% to N7.8bn at the end of Sept'17, up from N6.4bn achieved in the prior period of 2016.
- Increase in facultative outward reinsurance to balance the company's risk exposure particularly in the Oil and Energy and General Accident portfolios largely impacted the 27% y/y growth in reinsurance expenses for the period.
- Benefiting from the growth in GWP, the Group doubled its underwriting performance for the period to close at N1,294m in Sept'17, representing a 107% improvement from the prior period's position of N626m.
- Unperturbed by the implementation of our transformational strategies, we ensure that costs are optimized in line with our improvement plans for the period. The 4% reduction in Operating Expense is well within such plans.
- Other Operating Income dipped by 92% in Sep'17 to N202 from the prior period position of N2,420m. This is mainly driven by the foreign exchange gains recorded during the same period in 2016.

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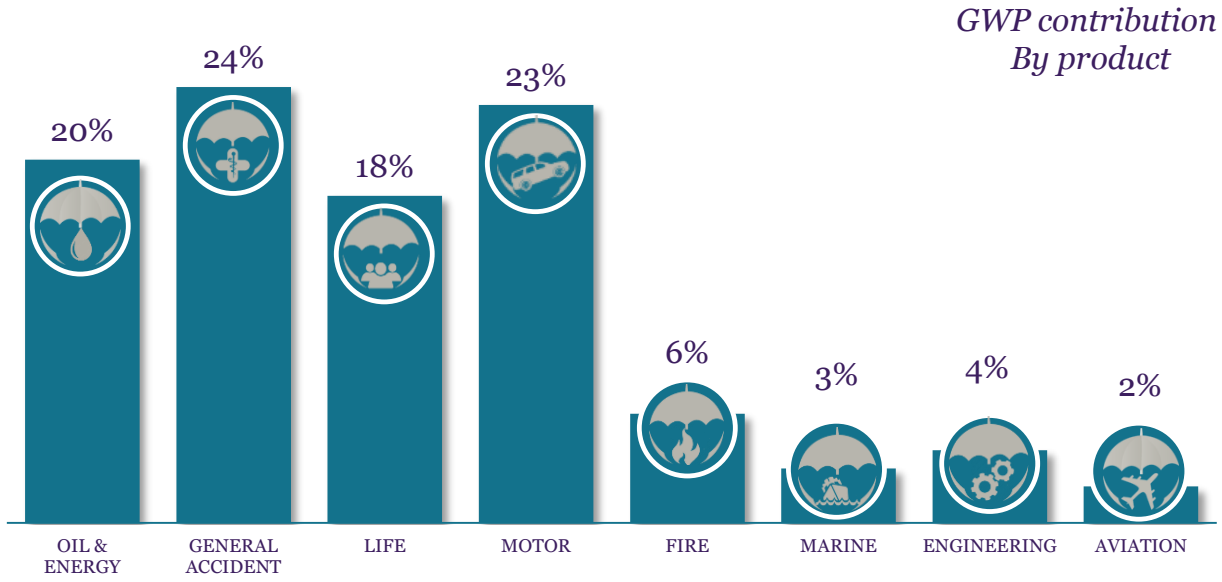
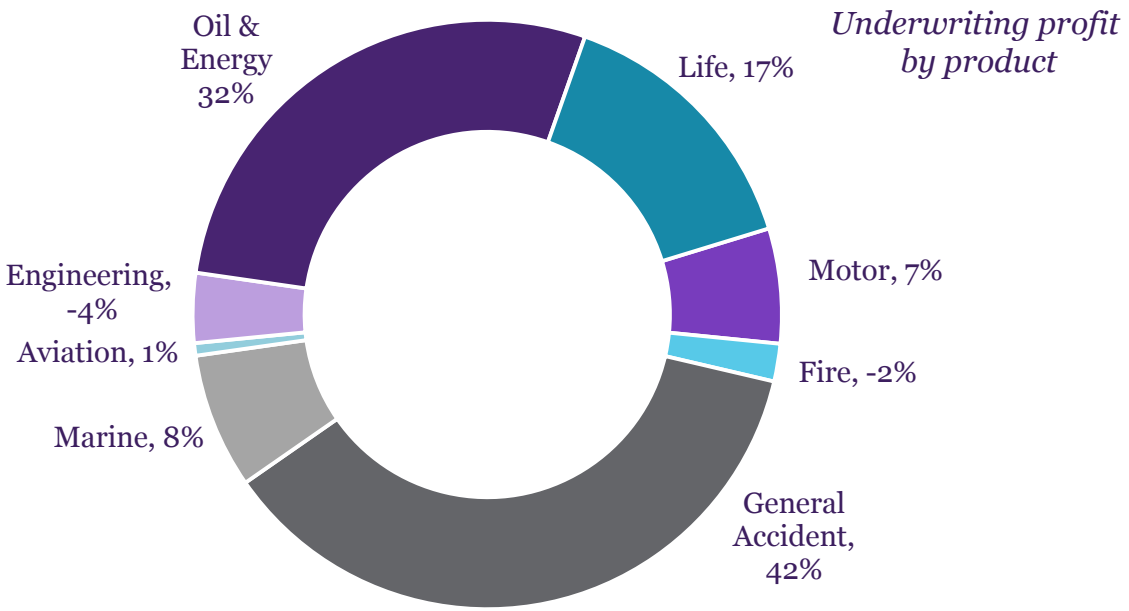
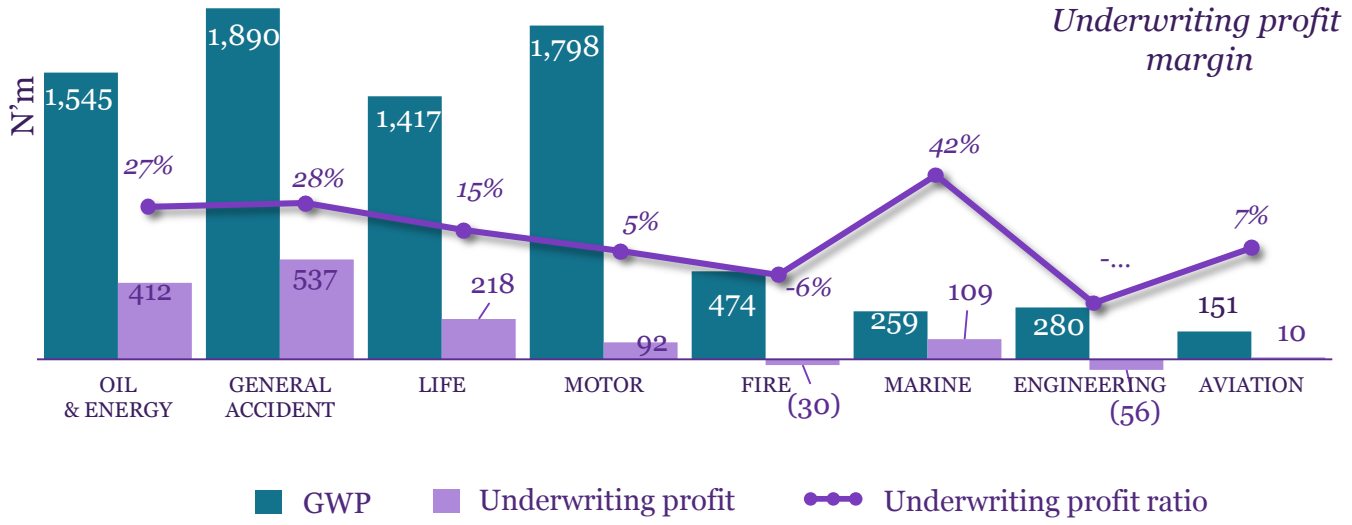
Product performance





Highlights

- General Accident has remained a top performer for three consecutive quarters, with a 24% premium contribution to the Group's GWP in Sep'17. It is closely followed by Motor at 23%. Oil and Energy slipped into third place at 20% for the period.
- Driven by their sales performance, General Accident and Oil & Energy were the two most profitable products in Sept'17, recording a 42% and 32% contribution to the Group's underwriting profit respectively.
- Marine recorded the highest underwriting profit margin ratio at 42% in Q3'17, followed by General Accident at 28%.



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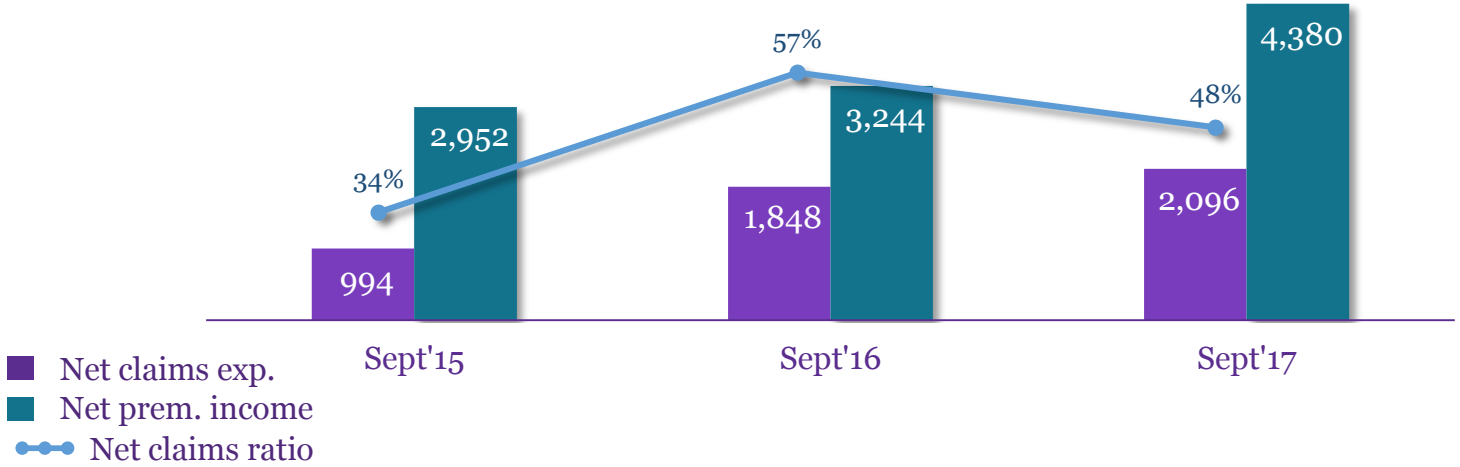
Group expenses

NGN million

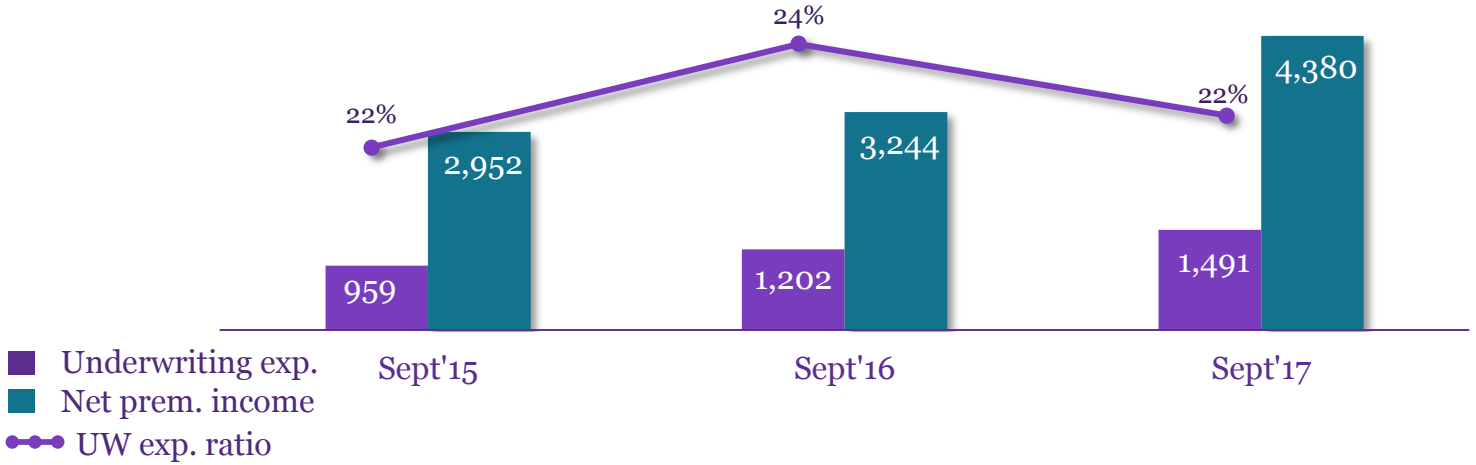
Net claims expenses

- Net Claims Expense increased by 13% to N2,096m during the period from N1,848m recorded in the Sep'16 driven largely by a growth in gross claims payout experience.
- The 35% y/y growth in Net Premium Income cushioned the net claims expense ratio for the period which dropped to 48% for the period, a 16% reduction from the 57% recorded in the corresponding period of September 2016.



Underwriting expenses

- Underwriting expenses increased by 24% for Sep'17 against the prior period of Sep'16, mainly a result of a better y/y topline performance. As a Group, we continue to drive for improved efficiency.
- Underwriting expense ratio decreased by 8% to 22% in Sept'17 from the 24% position in the corresponding year.



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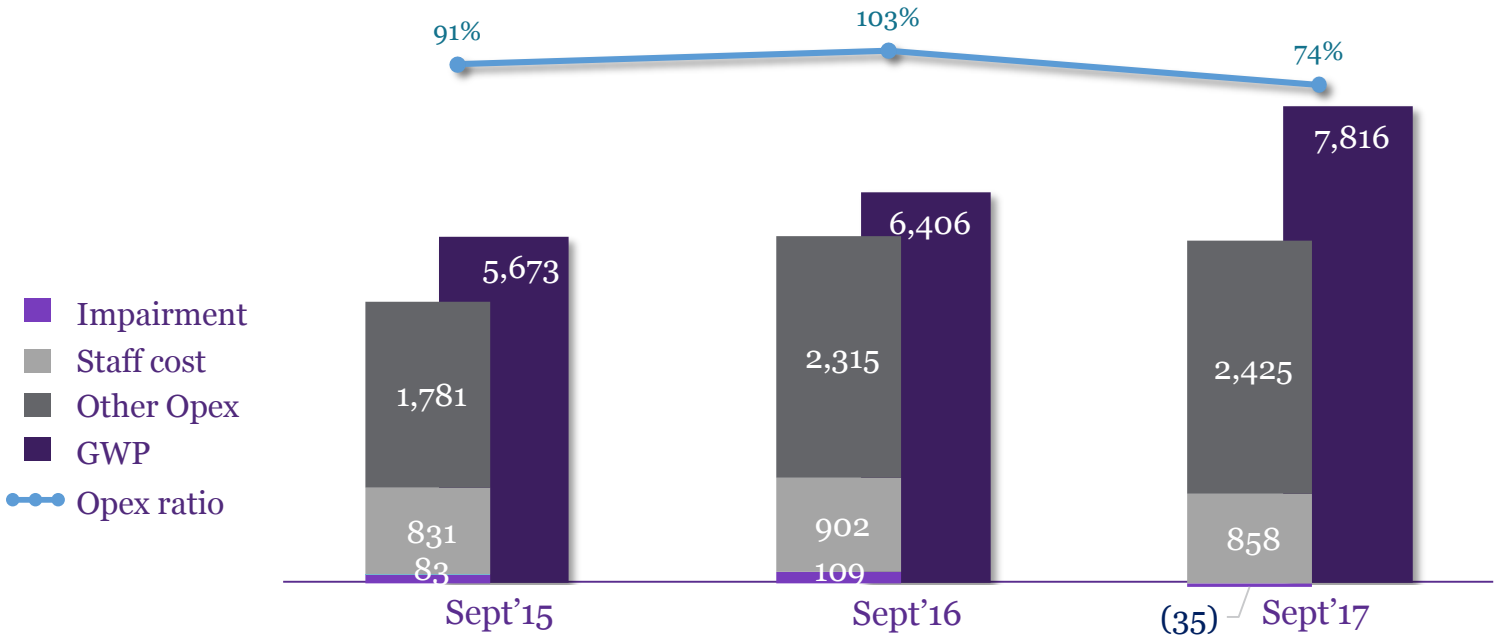
Group expenses

NGN million

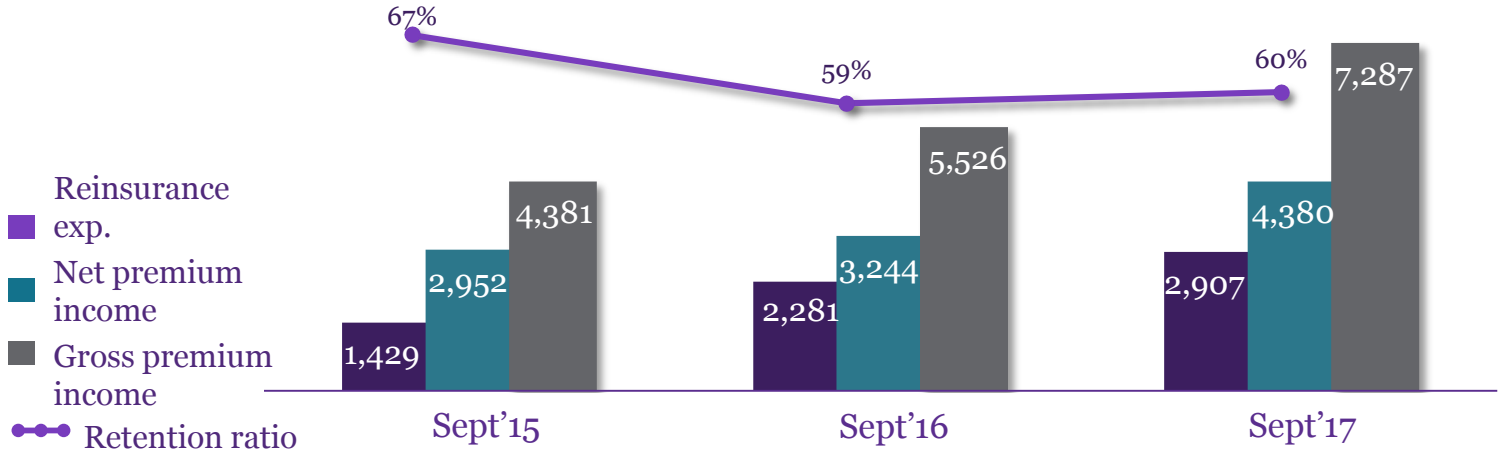
Operating expenses

- The Group's Total Operating Expenses declined by 4% for the period to N3,248m in Sep'17 (Sep'16: N3,400m) owing to the company's cost optimisation efforts.
- Opex ratio decreased by 28% from the prior period position in 2016 to 74% in 2017 driven by an improved topline performance and the reduction in operating expenses.



Reinsurance expenses

- Reinsurance expenses grew to N2,907m, a 27% y/y growth from N2,281m in 2016.
- As we round up the financial year we are confident that the Reinsurance optimization focus will yield solid results.



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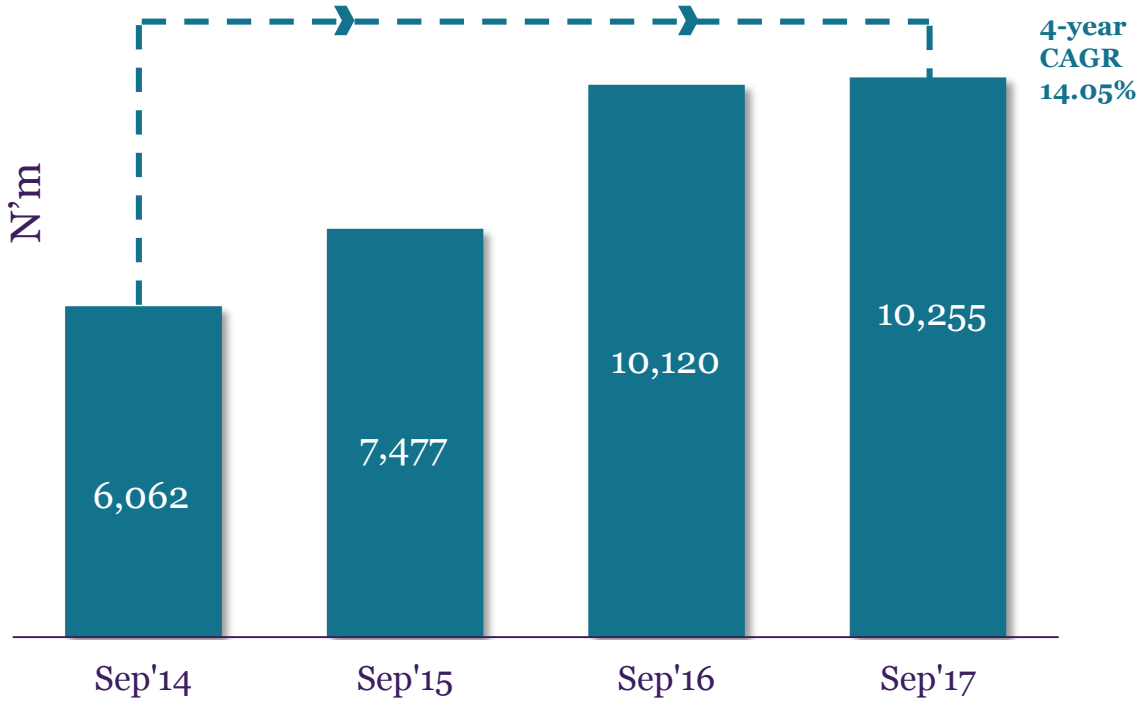
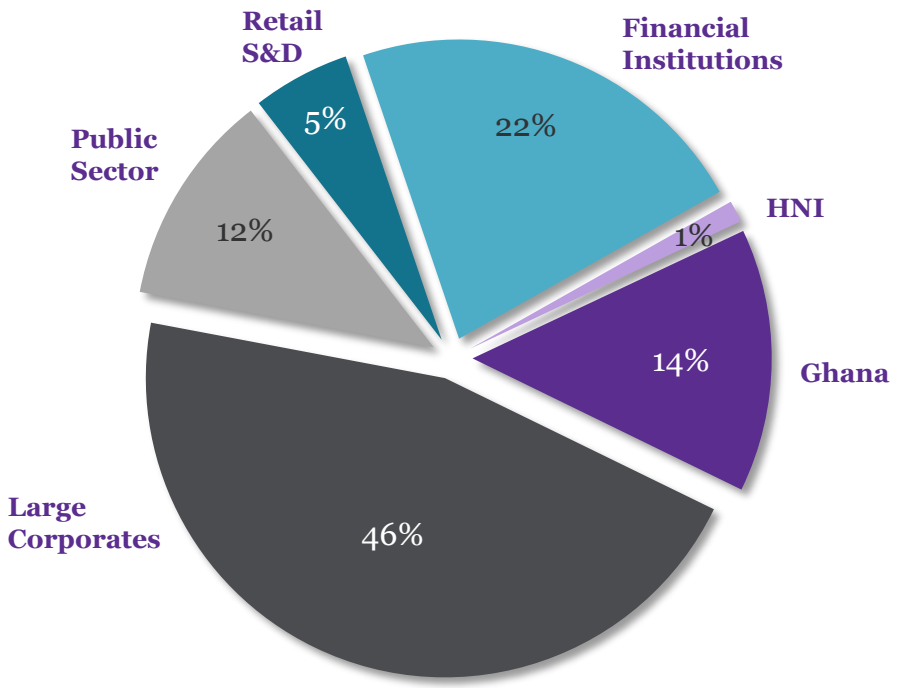
Revenue

Group Total Income



GWP contribution by Business Groups



- The Group's Total income is at approximately N10.3bn ytd Sep'17, a slight increase from the immediately corresponding period's position of N10.1bn
- GWP by business shows Large Corporates leading with a contribution ratio of 46% to the Group's overall topline performance, followed by Financial Institutions at 22%
- The Ghana subsidiary continues to show improvement with a contribution of 14% to the Group's total GWP for the period.

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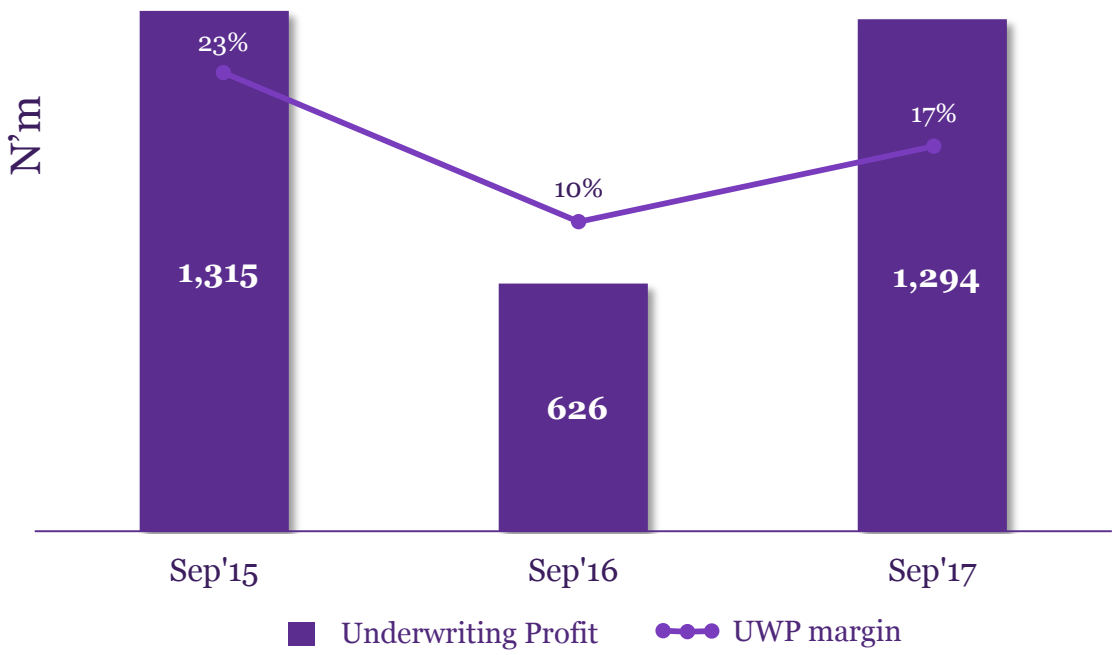
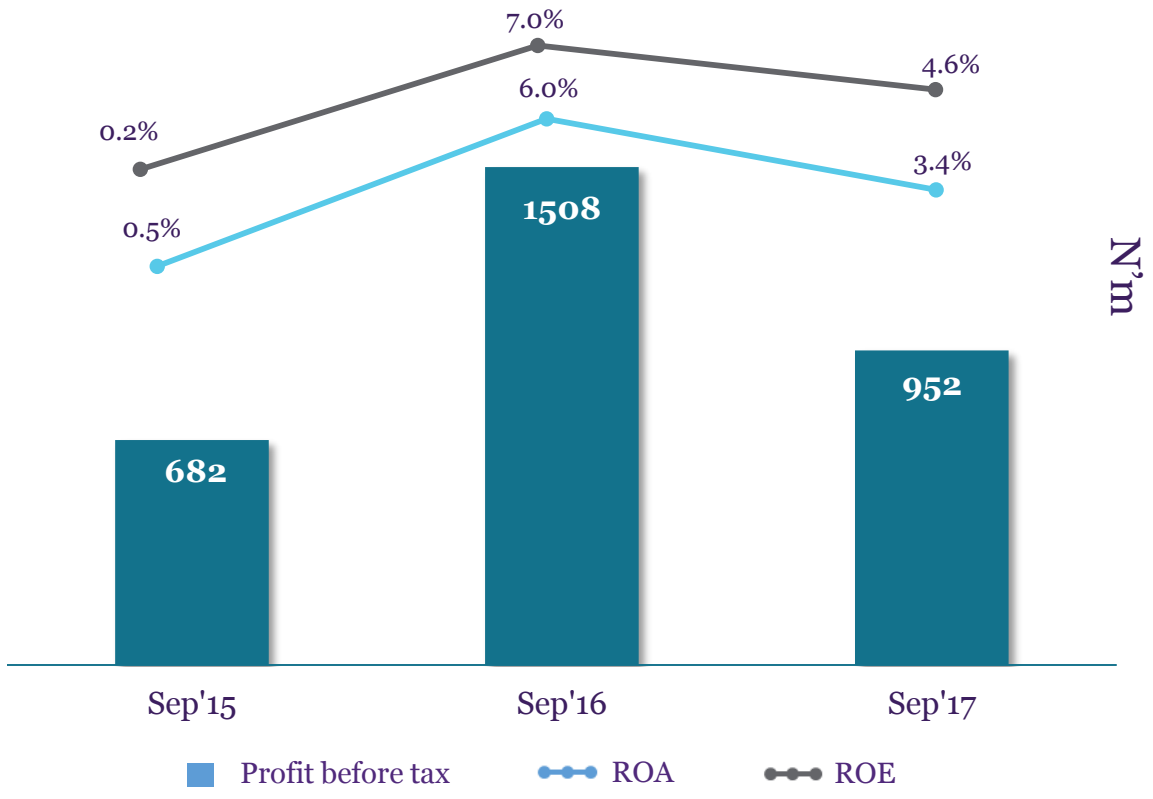
Group profit position

Underwriting profit



Profit before tax



- The Group had a noteworthy underwriting profit performance in Sep'17 resulting in a y/y growth of 107% to close at N1,294m (Sep'16: N626m). This led to an underwriting profit margin ratio of 17%, a 70% increase from that of Sep'16.
- Profit Before Tax closed at N952m for the period, a reduction from the prior year's result.
- ROA and ROE remained positive but reduced slightly y/y to 3.4% and 4.6% respectively for the period.

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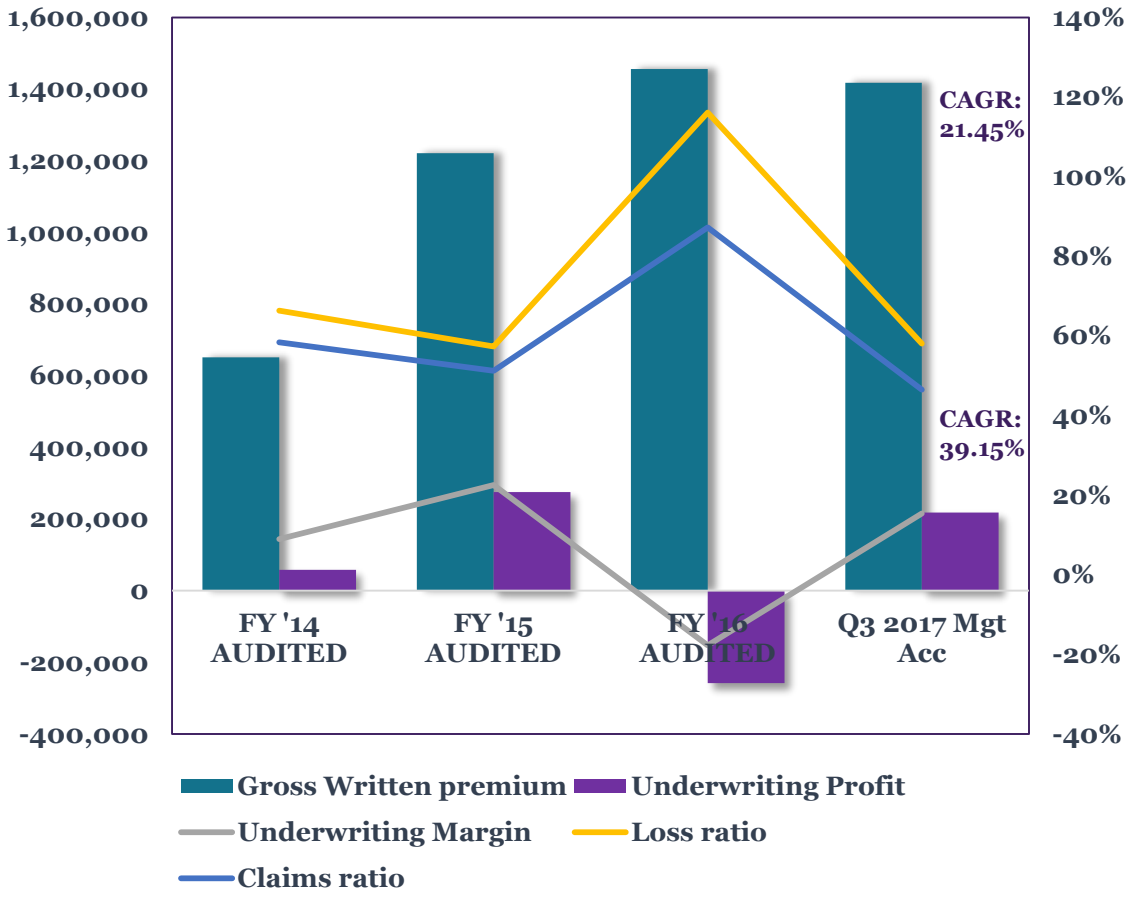
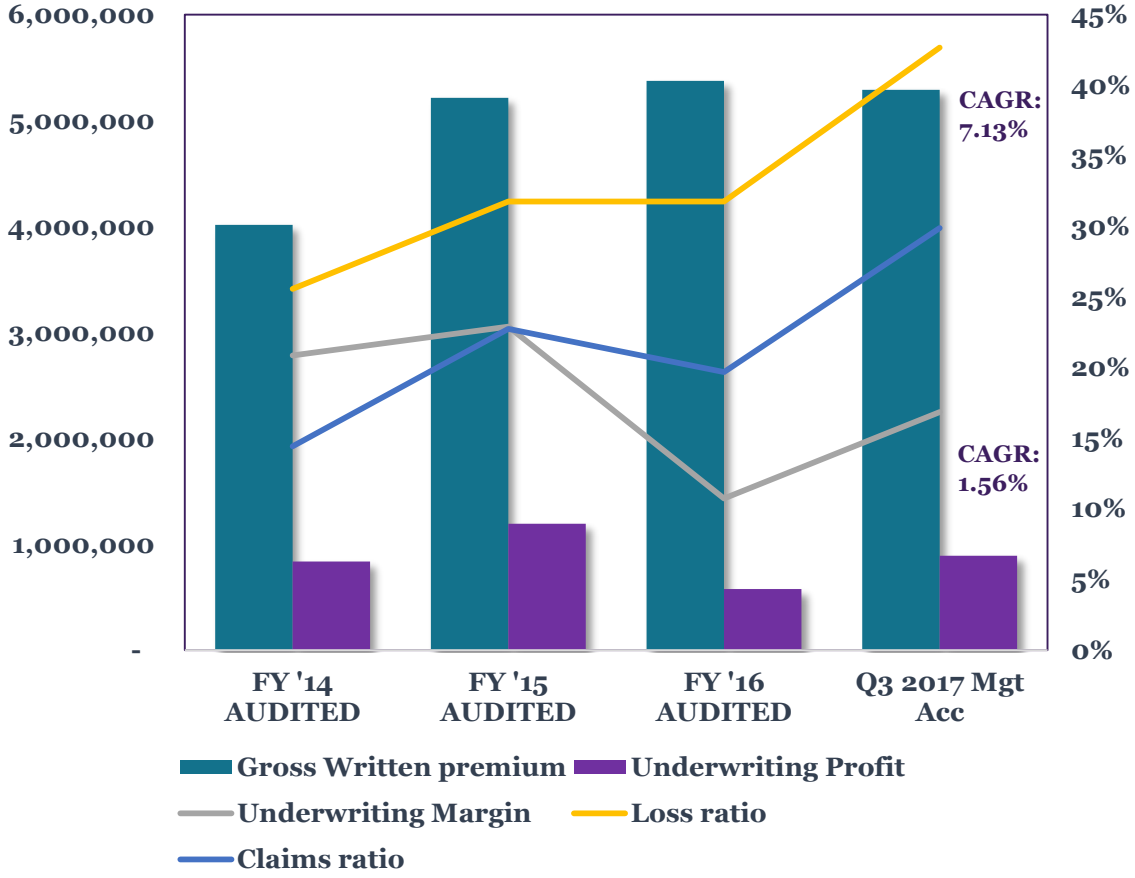
Historical Financial Highlights - Life Vs. Non Life

Life Business



Non-life Business



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Group GWP Flight Path

Rank	Institution	2013 N'bn
1	Leadway Assurance	41.8
2	AIICO Insurance	23.6
3	Custodian and Allied	23.0
4	AXA Mansard Insurance	13.6
5	Niger Insurance	10.4
6	Zenith Insurance	9.1
7	Royal Exchange	9.1
8	NEM Insurance	8.9
9	Sovereign Trust Insurance	8.7
10	Mutual Benefits Assurance	8.1
11	African Alliance	7.3
12	Staco	5.9
13	International Energy Ins	5.8
14	Cornerstone Insurance	5.3
15	Lasaco	5.0
16	NSIA	4.7
17	Equity Assurance	4.6
18	Goldlink	4.3
19	Prestige Assurance	4.2
20	Consolidated Hallmark	4.2
21	FBN Insurance	3.9
22	Standard Alliance	3.8
23	Regency Alliance	3.8
24	*Wapic Insurance*	*3.8*
25	Ensure	3.7
26	Law Union Rock	3.4
27	Capital Express	3.4
28	Great Nigeria Insurance	3.1
29	Sterling Assurance	3.04
30	Unity Kapital	2.9
31	Unitrust	2.8
32	Linkage	2.7
33	Guinea	1.08
34	Universal Insurance	0.62

Rank	Institution	2014 N'bn
1	Leadway Assuranced	39.0
2	AIICO Insurance	33.6
3	Custodian and Allied	21.4
4	AXA Mansard Insurance	17.4
5	Mutual Benefits Assurance	15.5
6	Zenith Insurance	12.5
7	Niger Insurance	11.1
8	African Alliance	10.9
9	NEM Insurance	9.8
10	Royal Exchange	9.4
11	FBN Insurance	8.4
12	Sovereign Trust Insurance	7.3
13	Staco	6.3
14	Lasaco	5.6
15	NSIA	5.5
16	Cornerstone Insurance	5.2
17	*Wapic Insurance*	*5.2*
18	Equity Assurance	4.8
19	International Energy Ins	4.8
20	Consolidated Hallmark	4.6
21	Regency Alliance	4.3
22	Standard Alliance	4.3
23	Law Union Rock	4.2
24	Ensure	3.9
25	Goldlink	3.1
26	Unity Kapital	3.0
27	Linkage	3.0
28	Unitrust	3.0
29	Great Nigeria Insurance	2.8
30	Prestige Assurance	2.7
31	Sterling Assurance	2.63
32	Capital Express	1.9
33	Guinea	1.09
34	Universal Insurance	0.72

Rank	Institution	2015 N'bn
1	Leadway Assurance	46.6
2	AIICO Insurance	32.9
3	Custodian and Allied	26.5
4	AXA Mansard Insurance	16.6
5	African Alliance	14.9
6	Mutual Benefits Assurance	14.6
7	Zenith Insurance	14.3
8	FBN Insurance	12.1
9	NEM Insurance	10.9
10	Royal Exchange	10.8
11	Niger Insurance	10.5
12	Cornerstone Insurance	7.3
13	Sovereign Trust Insurance	7.1
14	*Wapic Insurance*	*7.1*
15	Staco	6.2
16	Consolidated Hallmark	6.0
17	NSIA	5.6
18	Standard Alliance	5.2
19	Lasaco	5.1
20	Capital Express	4.9
21	Equity Assurance	4.5
22	Regency Alliance	4.3
23	Law Union Rock	3.9
24	International Energy Ins	3.9
25	Linkage	3.8
26	Great Nigeria Insurance	3.1
27	Ensure	2.9
28	Unity Kapital	2.6
29	Unitrust	2.5
30	Sterling Assurance	2.5
31	Prestige Assurance	2.4
32	Goldlink	2.4
33	Guinea	0.87
34	Universal Insurance	0.73

Rank	Institution	2016 N'bn
1	Leadway Assurance	52.7
2	Custodian and Allied	29.8
3	AIICO Insurance	27.1
4	AXA Mansard Insurance	20.7
5	African Alliance	14.3
6	Royal Exchange	12.5
7	Mutual Benefits Assurance	12.1
8	FBN Insurance	12.1
9	Zenith Insurance	11.1
10	NEM Insurance	10.8
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12	*Wapic Insurance*	*8.0*
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20	NSIA	4.5
21	Standard Alliance	4.4
22	Ensure	4.2
23	Linkage	4.0
24	Law Union Rock	3.9
25	Sterling Assurance	2.71
26	Prestige Assurance	2.6
27	Anchor Insurance	2.4
28	Capital Express	2.2
29	Great Nigeria Insurance	2.2
30	Unity Kapital	2.0
31	International Energy Ins	1.9
32	Guinea	0.91
33	Universal Insurance	0.54
34		

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Agenda

Financial Highlights

Income Statement Review

SOFP Review

Assets under Management

Statement of financial position

NGN million	Sept'17	FY'16	%Δ
Cash and cash equivalents	546	2,220	-75
Financial assets	9,387	7,401	+27
Reinsurance assets	2,250	1,573	+43
Trade receivables	221	554	-60
Other receivables & Prepayment	2,594	1,145	+127
Investment property	315	540	-42
Investment in associate	7,707	7,174	+7
Fixed assets and intangibles	4,192	4,229	-1
Other assets	1,195	1,066	+12
Total assets	**28,408**	**25,902**	+10
Trade payables	179	236	-24
Provisions & other payables	1,977	1,320	+50
Current income tax liabilities	246	208	+18
Insurance contract liabilities	7,675	6,374	+20
Investment contract liabilities	1,060	920	+15
Deferred Tax Liabilities	278	278	0
Total liabilities	11,414	9,336	+22
Equity	16,993	16,556	+3
Total equity & liabilities	**28,408**	**25,902**	+10

Highlights

- Portfolio realignment in Cash and Cash Equivalent to take advantage of higher-yielding assets resulted in the 75% reduction compared to FY'16 position.
- There was a 27% growth in Financial Assets, a reflection of the switch from cash and cash equivalent to benefit from the elevated yield in fixed income securities during the period.
- Reinsurance Assets grew by 43% to N2.2bn when compared to the FY'16 position of N1.6bn driven by the growth in reinsurance expenses arising from a growth in GWP.
- Trade receivables made up of outstanding premiums on broker-related businesses written is at N221m in Sep'17, a 60% further reduction from its FY'16 position.
- Investment Property further declined by 42%, in line with the company's divestment from property assets to higher-yield portfolios.
- Insurance contract liabilities increased by 20% from FY'16, following a growth in GWP during the period.

Note

Other Assets= Deferred acquisition cost+ Deferred Tax asset +Statutory Deposits
Fixed Assets & intangibles= Property, plant & equipment + Intangible Assets

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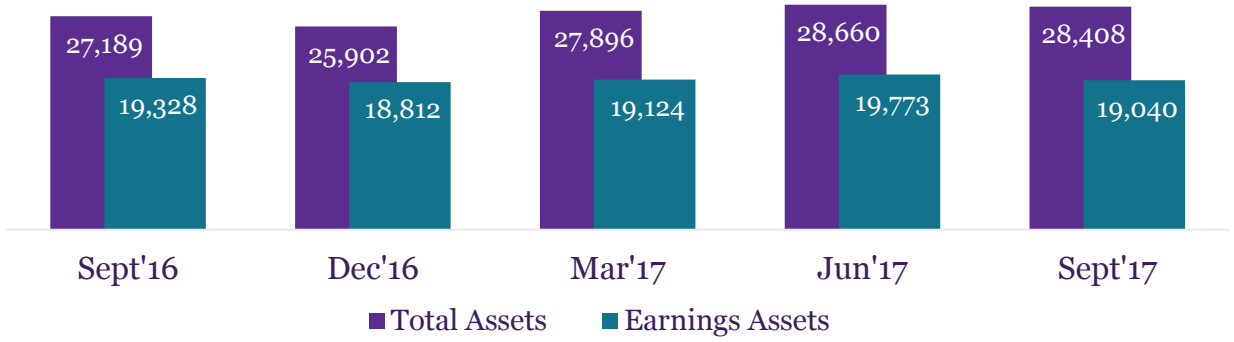
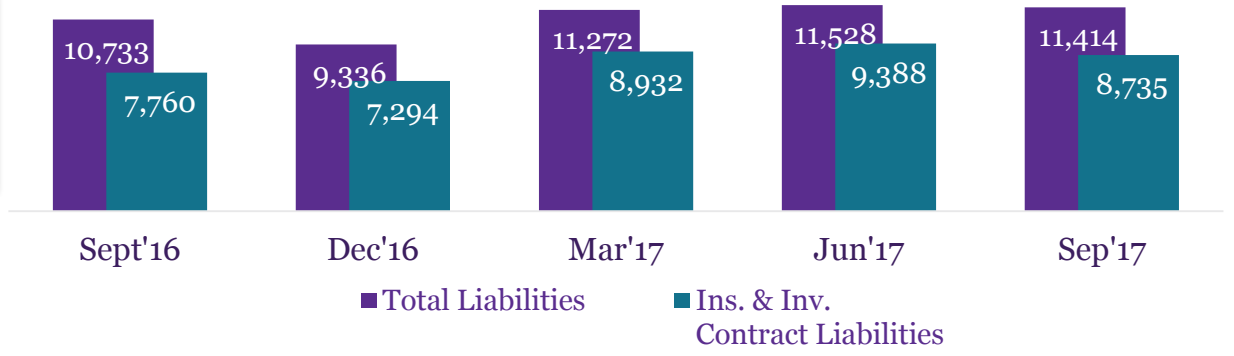
Highlights of financial position

NGN million

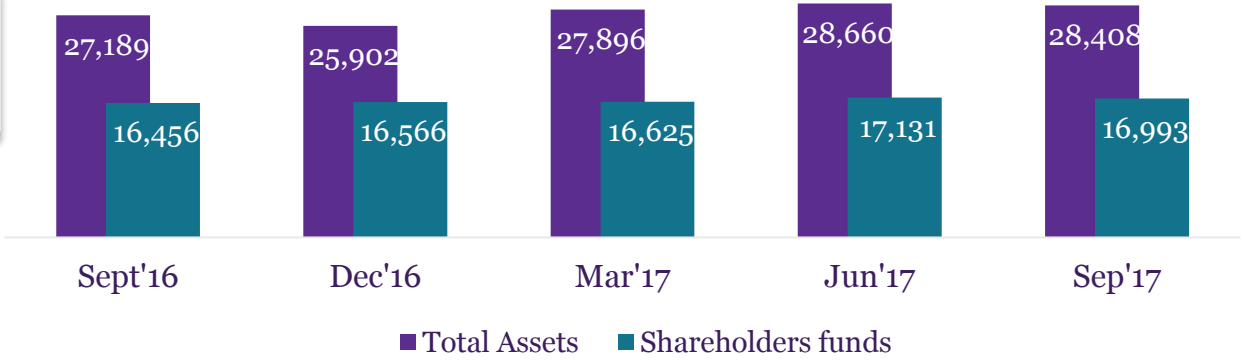
Total Assets & Earnings Assets



Insurance & Investment Contract liabilities to Total Liabilities



Total Assets & Shareholders Funds



Highlights

- In comparison with FY'16, Earnings Assets to Total assets ratio decreased slightly by 8% in Sept'17 to 67% due to increased investment in fixed assets.
- The Group grew its Total assets position by 10% to N28bn from the FY'16 position of N26bn.
- Insurance and Investment contract liabilities stood at N8.7bn representing a 20% increase from the FY'16 result.
- Total liabilities grew by 22% to N11.4bn in the period under review against FY'16 position. Mainly driven by the growth in Insurance contract liabilities recorded for the period.
- The Group's Shareholders funds remained relatively flat for the period at N16.9bn.

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Agenda

Financial Highlights

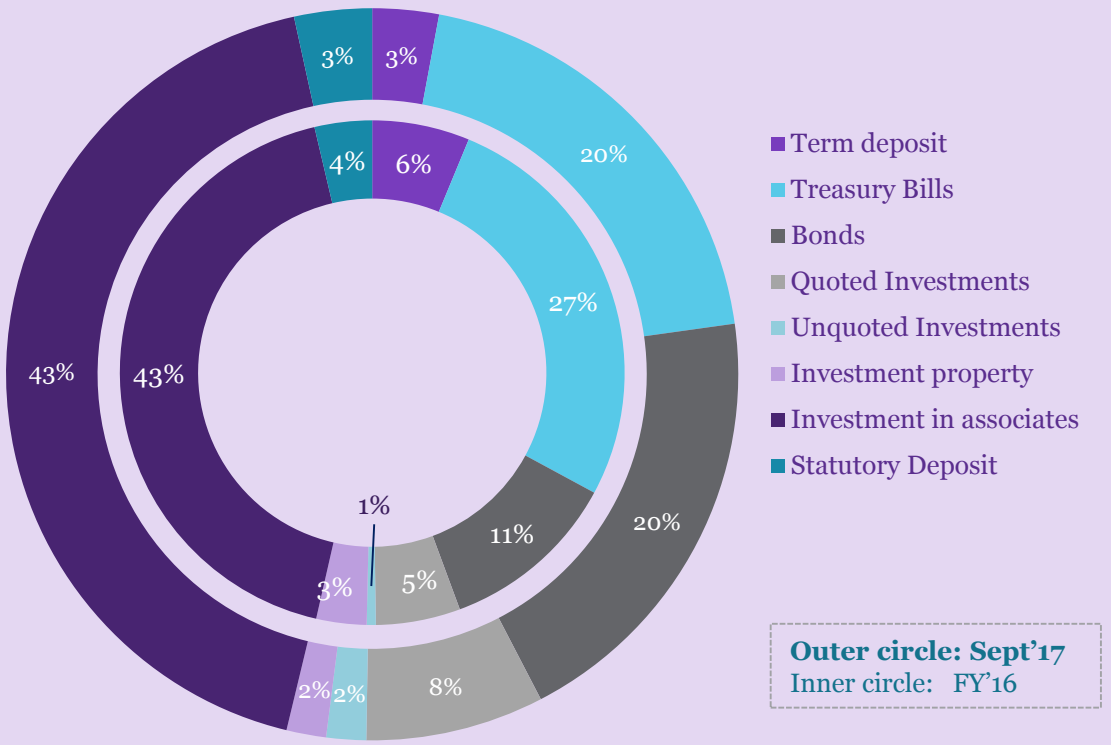
Income Statement Review

SOFP Review

Assets Under Management

Assets under management

N'm	Sep'17	FY'16
Term Deposits	528	1,048
Treasury Bills	3,575	4,471
Bonds	3,527	1,924
Quoted Investments	1,418	909
Unquoted Investments	316	98
Investment Property	315	540
Investment in Associate	7,707	7,174
Statutory Deposit	618	618
Total	**18,004**	**16,781**



- Term Deposits decreased by 50% for the period compared to FY'16, largely a result of the increased claims payout experience for the period.
- Unquoted equities increased by 224% as against FY'16 reflecting fund distribution for identified long term prospects, while Quoted Equities grew by 49% buoyed by the portfolio stock essentials and general capital market recovery.
- The value of investment in associates grew by 7% reflective of the Group's share of profit in CMB
- Investment Properties dropped by 42% as at Sep'17 to N315m. Further divestment in this class of asset is expected towards the end of the year.
- In order to improve asset liability matching of the portfolio, investment in Bonds grew by 83% from its FY'16 position.

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How we build for the future

FINANCIAL

- We expect continued year on year growth in our topline figures in line with strategic forecasts.
- We continue to proactively drive for a solid solvency margin, ahead of an expected change in capital adequacy rules by the National Insurance Commission.
- We shall maintain a continuous focus on cost optimization in order to meet our strict target cost-to-income ratio.

OPERATIONAL

- We have transformed our corporate website into a world class e-business platform and customer experience touch point to enable sales and enhanced customer engagement.
- We are set to launch a self-service omni-channel platform for customers to conveniently connect with us. This will deliver growth in premium, increase customer satisfaction, as well as improved service delivery and internal efficiency.
- We will continue to enhance our underwriting processes through improved risk assessment and selection

SALES

- With the laudable performance of our innovative SMART products in the insurance market space so far, we expect a further deepening of our retail insurance penetration, as we continue to grow our customer base.
- We would optimize the Wapic Life offerings with the launch of new products such as annuity, funeral insurance, etc.
- We continue to leverage the local content regulation in the oil and gas sector to grow our corporate business.
- We are set for a full implementation of our Bancassurance model across all major sales capitals across the country in line with growth opportunities.

PEOPLE

- We remain focused on a performance driven organization with significant improvements in employee engagement initiatives by staff, for staff.
- As a foundation to our strategic drive for the best talent in the industry, the organisation recently graduated 29 trainees from the Wapic Academy. Our investments in talent development are expected to manifest in productive gains.
- We are inculcating the behaviors, culture and innovation associated with leading customer experience driven initiatives.

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Thank you

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